Published September 2025

2025 Sri Lanka Investment Climate Statement

Executive Summary

Sri Lanka, a lower middle-income country with a population of about 22 million, continues to recover from its 2022 economic crisis. While 5 percent GDP growth in 2024 exceeded expectations, the country's investment climate remains challenging. The sweeping electoral victories of President Anura Kumara Dissanayake and his National People's Power (NPP) parliamentary coalition in late 2024 have provided political stability. The NPP's commitment to the country's $3 billion, four-year (2023-2027) Extended Fund Facility IMF program reassured investors, but many remain wary given the NPP leadership's historically anti-Western, Marxist-influenced ideology.

Foreign direct investment (FDI) remains constrained, with most transactions in the modest $3 to $5 million range. The sectors that attracted the most foreign investment in 2024 were:

- tourism,
- information and communications technology (ICT),
- renewable energy,
- manufacturing, and
- real estate.

Despite the government's $5 billion FDI target for 2025, experienced investors emphasize that policy stability, regulatory reform, and improved transparency must precede any significant uptick in large-scale investments.

U.S. firms continue to explore opportunities in sectors such as:

- ICT,
- energy,
- aviation, and
- defense.

However, regulatory unpredictability, bureaucratic hurdles, and selective transparency continue to limit broader participation.

The government's institutional capacity to encourage an open investment environment remains limited despite positive rhetoric. Overall, investors report that doing business remains difficult, frequently citing concerns about project reversals, regulatory shifts, slow decision making, and inadequate support for established businesses. The IMF and local business chambers stress the need for comprehensive structural reforms, including trade facilitation, digitization, and stronger governance mechanisms.

Section 1. Openness to, and Restrictions upon, Foreign Investment

Policies toward Foreign Direct Investment

Sri Lanka's implementation of foreign investment policies is inconsistent. The Board of Investment (BOI) is the principal investment promotion agency, but struggles to function as a "one-stop shop" due to fragmented authority across multiple government departments, creating lengthy approval processes that frustrate potential investors. Investors report challenges in having a consistent and open dialogue with the BOI.

Other key impediments include unnecessary regulations, legal uncertainty, and poor bureaucratic responsiveness. The stalled privatization of deficit-ridden state-owned enterprises, notably the Ceylon Electricity Board, hinders development of cost-effective energy supplies crucial for industrial operations. Foreign investors consistently report high transaction costs, unpredictable policies, and opaque procurement procedures.

Sri Lanka's Economic Transformation Act (ETA), passed in July 2024, sets parameters to abolish the BOI in favor of five new agencies:

- Economic Commission,
- Zones SL,
- Office for International Trade,
- National Productivity Commission, and

- Sri Lanka Institute of International Trade.

Implementation of the ETA stalled following the NPP's electoral victory in late 2024, resulting in the BOI's continued operation.

The NPP government publicly promotes a desire for inward investment. In January 2025, President Dissanayake committed to finalizing a $3.7 billion Sinopec oil refinery project, the largest FDI project in Sri Lankan history, to be located adjacent to Chinese-controlled Hambantota International Port. In February 2025, however, Indian firm Adani Green Energy withdrew from a proposed $400 million, 484 MW Renewable Energy Wind Farm project in northern Sri Lanka, citing Sri Lankan government efforts to renegotiate a previously awarded contract. The NPP government also ceased the planned privatization of many SOEs, choosing to implement turnaround reforms instead. Many potential investors remain reluctant to invest given these ongoing mixed messages. Some senior government officials regularly castigate private sector-led economic growth and publicly promote state-owned collectivism as the country's preferred investment model.

Limits on Foreign Control and Right to Private Ownership and Establishment

Sri Lanka permits 100 percent foreign ownership across most economic sectors, with constitutional guarantees for investment protection and unrestricted repatriation of earnings, fees, and capital. Investment security is reinforced through bilateral investment protection agreements with 28 countries and double taxation avoidance agreements with 38 countries.

Land acquisition presents significant challenges. Sri Lankan law generally prohibits land sales to foreigners and enterprises with foreign equity exceeding 50 percent. A 2018 Land Act amendment created limited exceptions for foreign companies listed on the Colombo Stock Exchange and case-by-case exemptions for unlisted companies in strategic sectors.

Sri Lanka maintains several categories of investment restrictions for foreign investors. The country prohibits 100 percent foreign ownership in certain regulated sectors including:

- banking,
- air transportation,

- coastal shipping,
- large-scale mechanized gem mining,
- lotteries,
- military hardware manufacturing,
- alcohol production,
- dangerous materials handling,
- currency minting, and
- security document printing.

Foreign investment is entirely prohibited in:

- pawnbroking,
- retail trade with capital investments below $5 million, and
- coastal fishing.

Sri Lanka imposes a 40 percent foreign ownership cap on export goods production subject to international quotas, including:

- cultivation of tea, rubber, coconut, cocoa, rice, sugar, and spices;
- natural resources extraction;
- timber industries using local materials;
- deep-sea fishing;
- mass communications;
- education;
- freight forwarding;
- travel services; and
- shipping services.

These investment limitations reflect the government's policy of protecting certain strategic industries while allowing measured foreign participation in others. The government occasionally applies different standards to foreign versus domestic investors, notably in renewable energy where international investors receive dollar-denominated tariffs, while local investors are paid in Sri Lankan rupees.

Investment screening is primarily managed by the BOI to ensure adherence to investment restriction policies and associated economic factors.

Other Investment Policy Reviews

No multilateral organization has conducted an investment policy review for Sri Lanka within the last five years. UNCTAD's most recent Investment Policy Review of Sri Lanka took place in 2004.

Business Facilitation

Business registration through the Department of Registrar of Companies' online portal typically occurs within four to five days. The Ceylon Chamber of Commerce provides business facilitation assistance and has established country-specific councils promoting bilateral trade and investment. The American Chamber of Commerce offers institutional and advocacy support for U.S. firms.

Outward Investment

Sri Lankan residents and companies can invest abroad through Outward Investment Accounts (OIAs) in eligible ventures, including shares, debt securities, sovereign bonds, and overseas subsidiaries. Current rules under the Foreign Exchange Act limit outward remittances as part of ongoing capital controls to stabilize foreign exchange reserves.

Section 2. Investment and Taxation Treaties

Sri Lanka has signed investment protection agreements with 26 countries, including the United States (in force since May 1993). The Constitution gives ratified agreements the force of law. A bilateral income taxation treaty with the United States, signed in 1985 and amended in 2002, is designed to prevent double taxation.

The United States-Sri Lanka Trade and Investment Framework Agreement (TIFA) serves as the primary forum for bilateral discussions on trade and investment matters.

Sri Lanka maintains free trade agreements with:

- India and Pakistan (goods-only agreements),
- Singapore (comprehensive agreement covering investment, goods, services, and government procurement), and
- Thailand (entered into force in January 2025)

Sri Lanka and China began FTA negotiations in 2014, but they stalled starting in 2017 due to disagreements on implementation scope and timelines.

Section 3. Legal Regime

Transparency of the Regulatory System

Sri Lanka's regulatory environment suffers from unpredictability, outdated rules, and excessive bureaucratic discretion. The February 2025 budget proposed eliminating tax exemptions for service export companies and foreign-source income (imposing a 15 percent concessionary rate), contrasting with extensive tax exemptions for projects in Colombo’s Port City. Government agencies dominate regulatory development with limited private sector consultation.

Investment inflows lag behind regional peers due to structural weaknesses, including restrictive labor regulations, complex tax structures, cumbersome contract enforcement, and difficult land acquisition. The new government shelved a proposed investor-friendly labor law reform after taking office in November 2024, increasing uncertainty.

Corporate financial reporting follows international standards. Sri Lanka has adopted International Financial Reporting Standards (IFRS) for publicly listed companies.

Parliament holds ultimate legislative authority, with line ministries drafting bills requiring Cabinet and/or parliamentary approval before enactment. Parliament publishes all bills and laws.

Sri Lanka does not have a legally mandated consultation process for new laws, meaning stakeholder engagement is typically ad hoc and varies by ministry. Once a bill is published in the Sri Lanka Gazette, it is public. There is a narrow window for the public to challenge the bill in courts.

International Regulatory Considerations

Trade facilitation needs significant improvement. Key impediments include strict import licensing requirements, high duties and para-tariffs, complex labor regulations, and intellectual property protection concerns. Sri Lanka relies heavily on para-tariffs and special commodity levies for revenue, though the government plans to phase these out gradually.

Despite industry calls for digitization, manual processes persist at key agencies, including the Sri Lanka Ports Authority, Sri Lanka Customs, and Board of Investment. Modernizing trade through automation represents a critical opportunity for economic growth.

Sri Lanka is a member of the World Trade Organization (WTO) and has made WTO notifications on:

- customs valuation,
- agriculture,
- import licensing,
- sanitary and phytosanitary measures,
- the Agreement on Technical Barriers to Trade,
- the Agreement on Trade-Related Investment Measures, and
- the Agreement on Trade-Related Aspects of Intellectual Property Rights.

Sri Lanka ratified the WTO Trade Facilitation Agreement (TFA) in 2016, and a National Trade Facilitation Committee was tasked with undertaking reforms needed to operationalize the TFA.

Legal System and Judicial Independence

Sri Lanka's legal system blends Roman-Dutch civil law, English common law, and customary law influences. The Constitution establishes judicial independence through structured appointment processes. Commercial law remains predominantly statutory, reflecting British colonial-era legislation that has not consistently kept pace with legal evolution in other common law jurisdictions.

Key commercial legislation includes the Board of Investment Law, Intellectual Property Act, Companies Act, Securities and Exchange Commission Act, Banking Act, and Inland Revenue Act. Weak contract enforcement significantly impedes business growth. Despite constitutional safeguards, perceptions persist of political influence and corruption within the court system, and case backlogs remain substantial.

Laws and Regulations on Foreign Direct Investment

The Foreign Exchange Act No. 12 of 2017 and its associated regulations govern foreign investments. These frameworks regulate capital transactions by non-residents, permitting acquisition and divestment of shares in companies incorporated under the Companies Act No. 07 of 2007 when complying with fund transfer regulations.

Sri Lanka offers various investment incentives including protection against nationalization, import duty concessions for project-related items during construction, and simplified work visa processes for BOI-registered companies.

For more information, see the BOI website.

Competition and Antitrust Laws

The Consumer Affairs Authority (CAA), operating under Act No. 09 of 2003, investigates anti-competitive practices, but enforcement has produced mixed results. Parliament approved anti-dumping, countervailing duty, and safeguard measures legislation in March 2017, providing frameworks to address unfair trade practices through investigation and remedial duties.

Expropriation and Compensation

Since adopting economic liberalization policies in 1978, Sri Lanka has not expropriated foreign investments; the last historical dispute involving foreign assets was resolved in 1998. The Land Acquisition Act of 1950 authorizes the government to acquire private property for public purposes with compensation based on government valuation intended to reflect market value.

Dispute Settlement

ICSID Convention and New York Convention

Sri Lanka is a member state of the International Centre for the Settlement of Investment Disputes (ICSID) and has ratified the Convention on the Recognition and Enforcement of Foreign Arbitral Awards (1958 New York Convention). Domestic law, specifically the Arbitration Act No. 11 of 1995, provides for the recognition and enforcement of awards under these conventions.

Investor-State Dispute Settlement

According to UNCTAD data, Sri Lanka has faced five known investor-state dispute settlement cases since 2000, one involving a U.S. investor. Three cases were resolved in favor of the state, one favored the investor, and one remains pending. The 1991 U.S.-Sri Lanka Bilateral Investment Treaty provides important investment protections, including access to investor-state dispute settlement.

International Commercial Arbitration and Foreign Courts

International arbitration is frequently used to resolve commercial disputes, particularly when contracts include specific arbitration clauses. Local courts recognize and enforce foreign arbitral awards under the Arbitration Act, but enforcement of judgments from foreign courts is limited and generally requires reciprocal enforcement agreements.

Bankruptcy/Insolvency Regulations

Sri Lanka's Companies Act and the Insolvency Ordinance of 1953 provide frameworks for the dissolution of insolvent companies but lack effective mechanisms for corporate reorganization as alternatives to liquidation. Rigid labor laws further complicate efforts to salvage financially troubled businesses. The Termination of Employment of Workmen Special Provisions Act severely restricts workforce reductions for employees with over six months' service.

A June 2023 Cabinet Memorandum highlighted the importance of modern insolvency legislation for improving the domestic economy and attracting investment. While current debt recovery laws provide tools for lenders, court delays impede timely resolution.

Section 4. Industrial Policies

Investment Incentives

The 2017 Inland Revenue Act offers concessionary corporate tax rates for investments in designated strategic sectors and enhanced capital allowances for qualifying capital investments. Unlike previous administrations, the current government generally avoids providing sovereign guarantees for foreign direct investment projects.

The government previously announced intentions to repeal the controversial Strategic Development Projects Act, which allowed for discretionary tax holidays and personal income tax exemptions for up to 30 top executives per project.

Treatment disparities persist between foreign and local investors in certain sectors, notably renewable energy where international companies receive foreign currency-denominated tariffs while domestic firms are paid in rupees.

Foreign Trade Zones/Free Ports/Trade Facilitation

Sri Lanka operates 18 Export Processing Zones (EPZs) under the administration of the Board of Investment. Within these zones, foreign investors receive the same treatment as local entities.

Export-oriented businesses benefit from duty-free importation of project-related materials and production inputs, although other taxes like Value Added Tax may still apply.

China Harbor Engineering Company completed reclamation of 665 acres near Colombo's port in 2019 to establish the Colombo Port City Special Economic Zone. Legislation passed in May 2021 established the governance framework and created the Colombo Port City Economic Commission to promote, manage, and regulate foreign investment within the zone. President Dissanayake's administration intends to review the Port City's legislative framework to enhance investment appeal.

Separately, the State Pharmaceutical Corporation established a dedicated pharmaceutical manufacturing zone in Hambantota, with 400 acres allocated and significant tax exemptions for foreign manufacturers. This initiative aims to build domestic production capacity to meet 40 percent of the country's pharmaceutical needs and generate up to $1 billion in annual exports.

Performance and Data Localization Requirements

The Personal Data Protection Act No. 9 of 2022 (scheduled implementation delayed beyond March 2025) establishes regulations governing personal data storage but does not impose data localization requirements. Companies can generally store information using commercial cloud services outside the country, provided they comply with cross-border data transfer provisions.

Sri Lanka imposes no requirements on foreign information technology providers to surrender source code or provide government access for surveillance purposes. The Computer Crimes Act of 2007 requires court supervision for any interception of communications related to cybercrime investigations.

Section 5. Protection of Property Rights

Real Property

Sri Lanka's legal system generally recognizes and enforces secured interests in property, though investors report concerns regarding enforcement reliability. The country utilizes a property registration system for land and buildings that continues to experience problems with fraudulent activities and documentation. Property registration typically requires eight procedures and takes an average of 39 days.

As noted earlier, Sri Lanka prohibits outright land sales to foreign nationals and enterprises with foreign equity exceeding 50 percent, with limited exceptions. Foreign investors typically access land through long-term leasing arrangements facilitated by the BOI.

According to the International Federation of Surveyors, only about 3 percent of land holdings are reported to have clear titles, and prior to 2022 it was not mandatory to register deeds.

Investors should be aware of the Prescription Ordinance, which grants ownership rights to individuals who maintain continuous, unchallenged “adverse possession” of real property for 10 years.

Intellectual Property

The Office of the U.S. Trade Representatives (USTR) does not currently include Sri Lanka in its Special 301 Report or Notorious Markets List.

Sri Lanka's IP framework operates primarily under the Intellectual Property Act No. 36 of 2003, covering copyrights, patents, trademarks, industrial designs, geographical indications, and trade secrets. Sri Lanka is a signatory to major international IP agreements, including the:

- TRIPS Agreement,
- Paris Convention,
- Berne Convention, and
- Patent Cooperation Treaty.

The National Intellectual Property Office (NIPO) maintains registration records for various forms of intellectual property. Copyrights receive automatic protection upon creation for original works, extending through the author's lifetime plus 70 years. Trademark protection applies to goods and services upon registration with initial registration lasting 10 years and indefinitely renewable. The government intends to strengthen IP protection further by replacing the 2003 IP Act with new legislation anticipated in 2024 or 2025.

Despite legal frameworks and institutional improvements, enforcement challenges persist. Limited public awareness, resource constraints, and weak coordination among enforcement agencies undermine effectiveness. Counterfeit products circulate widely, and music and software piracy remain rampant. Foreign companies report substantial business losses due to inadequate IP protection and enforcement.

Resources for Intellectual Property Rights Holders

For additional information about national laws and local IP office contacts, see WIPO's country profiles.

U.S. Embassy Colombo publishes a list of local lawyers.

Section 6. Financial Sector

Capital Markets and Portfolio Investment

The Securities and Exchange Commission regulates capital markets under the SEC Act of 2021. Sri Lanka encourages both foreign and domestic participation in its capital markets and generally imposes no restrictions on payments or transfers related to current international transactions.

The Colombo Stock Exchange has recently diversified its offerings beyond listed equity and debt to include stock borrowing and lending, regulated short selling, and various bond types. Foreign investors may acquire up to 100 percent equity in publicly listed Sri Lankan companies operating in permitted sectors.

The market recorded unprecedented performance in 2024, achieving positive net foreign inflows of $66.5 million and mobilizing $568 million in capital. Corporate earnings in the fourth quarter of 2024 reached $775 million (a 25.3 percent year-over-year increase). Despite this growth, overall market liquidity remains limited, necessitating careful planning of exit strategies for investors.

Money and Banking System

Sri Lanka's banking system comprises 30 licensed institutions: 24 licensed commercial banks and six licensed specialized banks. As of March 31, 2024, the banking sector reported total assets of approximately $68 billion and total deposits of $56 billion.

A transformative governance reform occurred in September 2023 with the enactment of a new Central Bank Act establishing a modernized framework emphasizing independence, flexible exchange rates, inflation targeting, and prohibition on monetary financing of government deficits. The Central Bank implemented amendments to the Banking Act in November 2024, enhancing the regulatory framework for both commercial and specialized banks.

Despite incurring losses from the government's domestic sovereign debt restructuring, banks maintained capital adequacy ratios above regulatory requirements throughout 2024.

Foreigners (non-residents) may open foreign currency accounts in Sri Lanka under FCBU regulations by providing valid identification and complying with Know Your Customer (KYC) requirements. However, to open local currency accounts, foreigners must provide proof of residency.

Foreign Exchange and Remittances

Foreign Exchange

The Central Bank achieved record levels of intervention in the domestic foreign exchange market in 2024, purchasing a net amount exceeding $2.8 billion. Gross official reserves strengthened significantly, reaching approximately $6.1 billion by the end of 2024, compared to $4.4 billion at the end of 2023. The Sri Lankan rupee demonstrated relative stability and appreciated against the U.S. dollar during the year.

Remittance Policies

Worker remittances reached a historic high of $6.58 billion in 2024, serving as Sri Lanka's second-largest source of foreign exchange. This surge resulted from increased labor migration, seasonal fund transfers, and reformed exchange rate policies that encouraged the use of formal banking channels. This growth reflects policy improvements following the abandonment of the fixed exchange rate in March 2022 and stricter controls on informal money transfer channels.

Sovereign Wealth Funds

Sri Lanka does not currently operate a sovereign wealth fund. The previous administration had proposed establishing a national wealth fund utilizing government assets to channel revenues toward public welfare programs, but these plans did not materialize. The country's large, government-controlled pension funds, the Employees' Provident Fund and Employees' Trust Fund, function as major domestic institutional investors, focusing primarily on government debt markets.

Section 7. State-owned Enterprises

The Sri Lankan government controls 527 state-owned enterprises (SOEs), including 55 entities designated as strategically important. These SOEs consistently strain public finances due to mismanagement, excessive staffing, inadequate financial disclosure, and weak budgetary controls. SOE labor costs significantly exceed private sector equivalents, consuming a disproportionate share of the national budget.

Sri Lanka does not publish a comprehensive, consolidated list of all state-owned enterprises (SOEs). However, the performance of key SOEs across 13 sectors is published annually in the Ministry of Finance Annual Report. Additional information may be available in annual budget reports or individual ministry disclosures.

Historically, governments resorted to monetary financing and debt accumulation to sustain these enterprises, contributing to persistently higher inflation rates compared to regional peers. This practice led to elevated domestic interest rates and increased borrowing costs for Sri Lankan businesses, undermining their global competitiveness.

Privatization Program

The previous government initiated a program aimed at comprehensive SOE reform, including potential privatization of several major entities. However, the current administration suspended these privatization efforts upon taking office. It has instead announced alternative restructuring approaches focused on improving management practices, reducing operational costs, and enhancing efficiency within the existing state ownership structure.

Section 8. Corruption

Endemic corruption and a lack of transparency in public procurement have historically inflicted significant economic losses on Sri Lanka. These factors deter foreign direct investment, particularly in large infrastructure sectors where top global companies often remain absent. Despite legal prohibitions, practices such as accepting unsolicited project proposals and tailoring tender specifications to favor specific companies reportedly remain common.

The President has publicly committed to eradicating corruption and enhancing governmental transparency. While high-level political bribery solicitation appears to have diminished under the new administration, institutional corruption persists, particularly within sectors protected by entrenched vested interests. The government strengthened its anti-corruption framework by passing comprehensive legislation in July 2023 aimed at enhancing enforcement capabilities.

Provisions addressing conflicts of interest remain vague, and enforcement mechanisms are ineffective.

Listed companies generally have codes of conduct to prohibit bribery of public officials. However, privately owned companies – especially those involved in infrastructure projects and imports – do not generally adhere to these guidelines.

Sri Lanka is a party to the United Nations Convention Against Corruption (UNCAC).

Resources to Report Corruption

- **Commission to Investigate Allegations of Bribery or Corruption**

  36 Malalasekara Mawatha, Colombo 7

  Telephone: +94 11 259 6360 / 259 5039; +94 76 701 1954

- **Transparency International, Sri Lanka**

  366 Nawala Road, Nawala, Rajagiriya

Telephone: +94 11 436 9783

Section 9. Political and Security Environment

National People's Power (NPP) candidate Anura Kumara Dissanayake won the September 2024 presidential election with 42.31 percent of the vote. Subsequently, the NPP secured a commanding two-thirds parliamentary supermajority in the November 2024 general election, winning 159 out of 225 seats. The Samari Jana Balawegaya became the main opposition party with 40 seats.

Sri Lanka's 26-year civil conflict ended in May 2009. A major security incident occurred on April 21, 2019, when coordinated terrorist attacks targeted churches and luxury hotels, killing over 250 people, including five Americans. The 2024 Online Safety Act grants the government new authority to restrict internet content, raising free speech concerns among civil liberties organizations and business groups.

The overall economic environment has improved markedly since the depths of the 2022 financial and political crisis. However, tax increases under the IMF program have sparked limited public protests. Living costs have risen substantially, creating challenges related to food security and utility payments for many households. A 2023 World Food Programme assessment found that nearly two-thirds of Sri Lankans resort to borrowing money or depleting savings to meet basic nutritional needs.

Section 10. Labor Policies and Practices

Skilled labor shortages represent a critical operational challenge in Sri Lanka. Significant emigration from key sectors, particularly tourism, apparel, information technology, and engineering, has created substantial talent gaps. In 2022, Sri Lanka's employed workforce of 8.1 million was distributed across services (47%), industry (26.5%), and agriculture (26.5%). The informal sector encompasses approximately 70 percent of total employment, while government agencies employ over 1.3 million workers.

Sri Lankan labor regulations provide extensive employee protections that investors often perceive as overly rigid, particularly regarding workforce reductions. The Termination of

Employment of Workmen Act makes dismissing employees difficult and costly, requiring substantial justification and compensation even for economic reasons. The country lacks formal unemployment insurance or robust social safety nets for displaced workers.

Labor costs remain relatively low compared to developed economies, though generally higher than in competing South Asian countries. The workforce is highly literate but often faces gaps in specific technical skills required by modern industries. The average worker has completed eight years of formal education, and males constitute approximately two-thirds of the workforce.

Younger workers increasingly show disinterest in labor-intensive manual positions, contributing to worker shortages in sectors like construction, plantation agriculture, and manufacturing. The garment industry reports annual staff turnover rates as high as 40 percent. Regional labor mobility limitations exacerbate these challenges, as workers often resist relocation away from their home communities.

The International Labor Organization (ILO) has identified gaps in Sri Lanka's labor laws, particularly around freedom of association and termination protections. Public-sector and informal workers lack full legal coverage, and enforcement remains weak. Domestic workers are unprotected, and Sri Lanka has not ratified key ILO conventions such as Convention 189.

Migrant Workers Abroad

Official statistics show 297,656 Sri Lankans registered for overseas employment in 2023, with numbers increasing in 2024 (239,027 registered through September). Remittances reached a record $6.5 billion in 2024. Most overseas workers fill unskilled positions in Middle Eastern countries, though skilled worker emigration continues accelerating with approximately 6,000 skilled Sri Lankans currently working in Bangladesh's garment industry alone.

Foreign Workers in Sri Lanka

Sri Lanka permits employing foreign workers when qualified local labor is unavailable. Work permits remain relatively accessible for qualified foreign personnel. The country offers dual citizenship status to Sri Lankans holding foreign citizenship from seven designated countries, including the United States.

Key sectors employing foreign workers include information technology, construction and engineering, hospitality and tourism, education, and manufacturing. Most foreign workers originate from India, Bangladesh, and China, with many reportedly working without proper documentation.

Trade Unions

Union membership encompasses approximately 9.5 percent of the workforce and continues declining. Sri Lanka hosts over 2,000 registered trade unions, many with fewer than 50 members. About 18 percent of workers in industrial and service sectors belong to unions. Most major unions maintain political party affiliations, contributing to a politicized labor environment.

All workers, except those in police, military, prison service, and designated essential services, possess the right to strike. Union representation is common in large private enterprises but rare in small-scale operations. The tea plantation sector and public sector maintain high unionization rates.

Collective bargaining exists but remains limited in scope. While approximately 25 percent of the Employers' Federation of Ceylon's 660 member companies have unionized workforces, only about 90 companies operate under formal collective bargaining agreements.

Sri Lankan law prohibits forced and compulsory labor. The National Minimum Wage (last amended March 2024) sets monthly minimums at LKR 17,500 (approximately $57) and daily rates at LKR 700 (approximately $2.10). Child labor prohibitions effectively eliminate the practice in formal sectors, though violations occur within the informal economy.

Sri Lanka has ratified 31 international labor conventions, including all eight core labor standards. A 2021 national survey found that 62 percent of workers participate in the informal economy, mostly as self-employed individuals in agriculture.

Section 11. U.S. International Development Finance Corporation (DFC) and Other Investment Insurance or Development Finance Programs

DFC has committed more than $300 million in funding to Sri Lankan banks to support small and medium enterprises (SMEs) and entrepreneurs. The DFC financing aims to support private sector investment and economic growth.

Several countries provide bilateral project financing directly to the Sri Lankan government. Chinese financing has enabled extensive infrastructure development, including major road and port construction projects. Following the economic crisis, the Japan International Cooperation Agency announced the resumption of several large-scale infrastructure projects previously suspended.

Section 12. Contact for More Information

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